

1. Your Capital Snapshot

Before deploying any capital, you must internalize your numbers. The V-Swing strategy is designed around strict risk management with a focus on capital preservation first and growth second. Every rupee you deploy should follow a calculated plan, not an emotional impulse. The table below captures your baseline configuration as set in the V-Swing Trading Desk app. These numbers form the foundation of every sizing, allocation, and rotation decision you will make during your paper trading phase and beyond.

Parameter	Value	What It Means
Total Trading Capital	Rs 2,00,000	Your entire risk pool for swing trading
Risk Per Trade	1.0% (Rs 2,000)	Maximum loss allowed on any single trade
Max Concurrent Positions	3	Maximum open trades at any given time
Max Portfolio Slots	8	Capital divided into 8 equal risk buckets
Expected Trades / Month	4 to 8	Moderate selectivity, not overtrading
Average Holding Period	5 to 15 days	Swing timeframe, not intraday or investment
Min Confluence Score	3 out of 6	Minimum quality threshold to consider a setup
Min Risk:Reward	1.5:1	Minimum R:R ratio to enter a trade
Position Sizing Method	True Risk Hybrid	Combines risk-based and capital-based limits

Core Position Sizing Formula

$$Qty = (Capital \times Risk\% \times ddPenalty) / (Entry\ Price - Stop\ Loss)$$

Capped by: Position Value < Capital / MaxSlots

The ddPenalty (drawdown risk penalty) automatically reduces your position sizes when your portfolio is in drawdown. The formula is: max(0.25, min(1.0, 1 - drawdown%/20)). At 10% drawdown, your penalty is 0.5x, meaning you trade at half your normal size. This self-correcting mechanism prevents you from blowing up during losing streaks and ensures you survive to trade another day. It is one of the most powerful features of the V-Swing system.

2. Per-Trade Position Sizing

The V-Swing system uses a three-layer position sizing approach that balances risk control with profit potential. The first layer is risk-based sizing, which ensures no single trade can lose more than your defined risk percentage. The second layer is capital-based sizing, which prevents any single position from consuming too much of your portfolio. The third layer is the drawdown penalty, which dynamically shrinks your sizes when you are in a losing period. Your final position size is always the minimum of these three constraints, ensuring you never overexpose yourself.

2.1 A+ Setup vs B Setup Sizing

An A+ setup (all 6 confluence factors aligned) receives full risk allocation: 1% of capital per trade. A B setup (4-5 factors aligned) receives half risk allocation: 0.5% of capital per trade. This differential ensures that your capital is concentrated on the highest-probability setups while still allowing you to participate in good-but-not-perfect opportunities. Over time, this allocation difference compounds significantly in your favor.

Stock	Entry	SL	TP	R:R	Qty (A+)	Pos Value (A+)	Max Loss (A+)
RELIANCE	2,950	2,880	3,100	2.1x	28	Rs 82,600	Rs 1,960
TATAMOTO RS	980	940	1,040	2.0x	50	Rs 49,000	Rs 2,000
ITC	465	448	495	2.0x	117	Rs 54,405	Rs 1,989

Examples based on Rs 2,00,000 capital, 1% risk, no drawdown (ddPenalty = 1.0x), max 8 slots.

2.2 Pyramiding Rules

The V-Swing backtester supports pyramiding (adding to a winning position). If your first entry is in profit and a new signal appears on the same stock, you can add up to 50% of your original quantity. This means if you initially bought 50 shares of TATAMOTORS and it moves in your favor, you can add 25 more shares at the new signal price. However, your stop loss adjusts to the latest entry, and your total risk should never exceed the original 1% allocation. Pyramiding is only allowed on A+ setups and only when the first partial take-profit (30% exit at TP1) has already been secured. This rule ensures you only add to positions that are already proving you right.

3. Monthly Capital Deployment Plan

The single biggest mistake new traders make is deploying all their capital on day one. This leads to forced decisions, poor entries, and psychological stress when multiple positions move against you simultaneously. The V-Swing deployment plan uses a time-based tranche system that spaces out your capital deployment across the trading month. This approach ensures you always have dry powder available for high-quality setups that appear later, and you are never caught fully invested during a market correction.

3.1 Weekly Deployment Schedule

Week	Deploy %	Max Open	Available Cash	Rules
Week 1	30-40%	1-2	Rs 1,20,000+	A+ setups only. Wait for 5+ score.
Week 2	Up to 60%	2-3	Rs 80,000+	Add B setups if A+ quality confirmed.
Week 3	Up to 70%	2-3	Rs 60,000+	Trail stops on Week 1 positions.
Week 4	Wind down	1-2	Reset to 60%+	Close matured trades, rotate capital.

3.2 The 40% Cash Reserve Rule

At any point in time, you should maintain at least 30-40% of your total capital in cash. This reserve serves three critical purposes. First, it gives you the ability to add to winning positions (pyramiding) when a trade moves in your favor. Second, it provides a psychological buffer that prevents you from feeling forced to enter suboptimal setups just because your money is sitting idle. Third, it acts as an emergency fund that allows you to absorb unexpected drawdowns without triggering the severe ddPenalty reduction. With Rs 2,00,000 capital, this means you should never have more than Rs 1,20,000 to Rs 1,40,000 deployed in open positions at any time, leaving Rs 60,000 to Rs 80,000 in reserve for new opportunities and risk absorption.

4. Position Rotation Framework

Rotation is the process of closing existing positions and redeploying the freed capital into new setups. This is not the same as random buying and selling. Every rotation decision follows a clear rule based on the exit reason. Understanding these rules prevents you from making emotional decisions about when to exit and what to enter next. The V-Swing system defines four exit triggers, each with a specific rotation protocol.

Exit Trigger	What Happens	Rotation Action	Cooldown
TP1 Hit (30% exit)	30% qty sold at target. Remainder trailed.	Hold remainder. No new entry needed.	None
TP2 Hit (50% exit)	50% of remaining sold. Trailing stop active.	Hold remainder until trailing stop or time exit.	None
Stop Loss Hit	Full position closed at loss.	Wait for fresh setup. Do NOT re-enter same stock.	1 bar (next day)
Trailing Stop	EMA10 - ATR exit. Usually profitable.	Free up slot. Scan for new A+ setup.	1 bar
Dead Capital (25 bars)	Position showed no progress in 25 days.	Exit at market. Free up slot and capital.	None

4.1 Example Rotation Cycle

Here is a concrete example of how rotation works across a typical month. In Week 1, you enter RELIANCE (A+ setup, Rs 82,600 deployed). In Week 2, TATAMOTORS triggers an A+ signal, so you deploy Rs 49,000 (total deployed: Rs 1,31,600 or 66%). In Week 2.5, RELIANCE hits TP1. You book 30% profit and trail the rest. In Week 3, RELIANCE hits trailing stop for a net +Rs 6,200 gain. This frees up Rs 82,600. You now scan for new setups with refreshed capital. ITC appears as a B setup in Week 3.5, you deploy Rs 54,000. ITC hits SL in Week 4 for a -Rs 1,989 loss. TATAMOTORS hits TP2 in Week 4 for a +Rs 4,500 gain. Net month P&L: +Rs 8,711 or +4.4% on deployed capital. This is a realistic scenario with one winner, one partial winner, and one loser.

5. Weekly Operating Rhythm

Consistency in your trading routine is more important than any single trade decision. The weekly rhythm below gives you a structured playbook for every day of the trading week. By following this schedule, you remove decision fatigue and ensure that every aspect of your trading system is attended to at the right time. Monday is for scanning and planning. Tuesday through Wednesday are for execution. Thursday is for management. Friday is for review and journaling. This rhythm ensures you spend more time managing existing positions than hunting for new ones, which is the hallmark of a disciplined swing trader.

Day	Primary Action	V-Swing Tool	Time Needed
Monday	Run full screener scan. Review open positions. Update SL/TP levels.	Screener Tab + Live P&L;	20-30 min
Tuesday	Enter new A+ setups from Monday scan. Set alerts.	Journal Tab (Quality Check)	15-20 min
Wednesday	Add B setups if max slots not full. Pyramid winners.	Screener + Sizing Tab	10-15 min
Thursday	Review trailing stops. Write journal entries for each open trade.	Journal Tab + Live P&L;	15-20 min
Friday	Close TP1/SL trades. Review weekly P&L.; Update drawdown %. Plan next week.	Analytics Tab + Sizing Tab	20-30 min

The total weekly time commitment is approximately 80-115 minutes, or about 15-20 minutes per trading day. This is deliberately designed to be sustainable. Swing trading is not a full-time job. If you find yourself spending more than 30 minutes per day, you are likely overtrading or overanalyzing. The V-Swing system is built to be mechanical: scan, check quality, enter, manage, exit. The less time you spend staring at screens, the better your decision-making will be. Use your free time to review journal entries, study past trades in the Analytics tab, and refine your understanding of market behavior rather than hunting for the next trade.

6. Risk Guardrails and Drawdown Protocol

These are non-negotiable rules that protect your capital from catastrophic loss. They are encoded into the V-Swing Trading Desk app through the ddRiskPenalty formula and the trade quality checklist, but you must also internalize them as a trader. Breaking these rules is the number one reason retail traders blow up their accounts. The drawdown protocol is particularly important: it automatically reduces your position sizes as you lose, ensuring that the deeper you go into drawdown, the harder it becomes to lose more. This mathematical asymmetry is what keeps you in the game long enough for your edge to play out.

Drawdown Level	Action Required	Position Sizing Impact	Psychological Check
0-5% (Normal)	Trade normally. Full risk allocation.	ddPenalty = 1.0x (full size)	Stay calm, follow the plan.
5-10% (Caution)	Reduce to B-setup sizing for all trades.	ddPenalty = 0.5x to 0.75x	Review last 5 trades for mistakes.

Drawdown Level	Action Required	Position Sizing Impact	Psychological Check
10-15% (Warning)	Only A+ setups. Half normal size.	ddPenalty = 0.25x to 0.5x	Consider taking a 3-day break.
15-20% (Critical)	Stop trading entirely. Journal review.	ddPenalty = 0.25x (floor)	Mandatory 1-week trading pause.
20%+ (Emergency)	Close all positions. Full system reset.	Account review required	Seek mentorship. Paper trade again.

6.1 Hard Rules (Never Break)

- **Never risk more than 2%** on a single trade, even on the most perfect A+ setup.
- **Never hold more than 3 concurrent positions.** More positions = more correlation risk.
- **Stop trading at 15% drawdown.** The market is telling you something is wrong.
- **No revenge trades after 2 consecutive losses.** Take a mandatory 3-day break.
- **Every trade must have a stop loss before entry.** The quality checklist enforces this.
- **Never move your stop loss further away** from entry to "give the trade more room."

Drawdown Penalty Formula

$$\text{ddPenalty} = \max(0.25, \min(1.0, 1 - \text{Drawdown}\% / 20))$$

At 0% DD: 1.0x (full size) | At 5% DD: 0.75x | At 10% DD: 0.5x | At 15% DD: 0.25x (floor)

7. Paper Trading Action Plan

Before risking real capital, you must prove to yourself that you can follow the system consistently. The V-Swing Trading Desk app is built specifically for this phase. Paper trading is not a simulation; it is a discipline test. If you cannot follow your own rules with fake money, you will certainly break them with real money. The plan below takes you from pure observation to full deployment over a 12-week period, gradually increasing your engagement level as you build confidence in the system and in your ability to execute it without emotional interference.

Phase	Duration	Activity	Success Criteria
1. Observe	Weeks 1-2	Run daily scans. Log signals in a notebook. Do NOT enter any trades.	Identify 10+ valid signals. Understand quality levels.
2. Test	Weeks 3-4	Paper trade 1-2 positions max. Use quality checklist every time.	Complete 4-6 paper trades with full journal entries.
3. Scale	Month 2	Increase to 2-3 concurrent positions. Track all metrics.	Maintain 50%+ win rate with 1.5:1 avg R:R.
4. Deploy	Month 3	Full deployment: 3 concurrent, all features, weekly rhythm.	Positive expectancy confirmed. Max DD < 10%.

Phase	Duration	Activity	Success Criteria
5. Go Live	After Month 3	Start with 25% of real capital. Scale up over 3 months.	3 months of profitable live trading before full capital.

7.1 Key Metrics to Track

Throughout your paper trading phase, use the Analytics tab in the V-Swing Trading Desk to monitor these key performance indicators. Your goal before going live is to achieve: a win rate above 55%, an average risk-to-reward ratio above 1.8:1, a profit factor above 1.5, a maximum drawdown below 10%, and a Sharpe ratio above 1.0. These are not arbitrary targets. They represent the minimum statistical threshold at which the V-Swing strategy has a positive expected value over a large number of trades. If you are not meeting these targets after 50 paper trades, you should refine your setup selection (increase minScore to 4) or reduce your trade frequency rather than rushing to go live with real money.

- **Win Rate:** Percentage of closed trades with positive P&L.; Target: 55%+
- **Average R:R:** Average profit per winning trade divided by average loss per losing trade. Target: 1.8x+
- **Profit Factor:** Total gross profit divided by total gross loss. Target: 1.5+
- **Max Drawdown:** Largest peak-to-trough decline in portfolio value. Target: Below 10%
- **Average Holding Period:** Mean number of days per trade. Expect 5-15 days for swing trades
- **Expectancy:** (Win Rate x Avg Win) - (Loss Rate x Avg Loss). Must be positive.